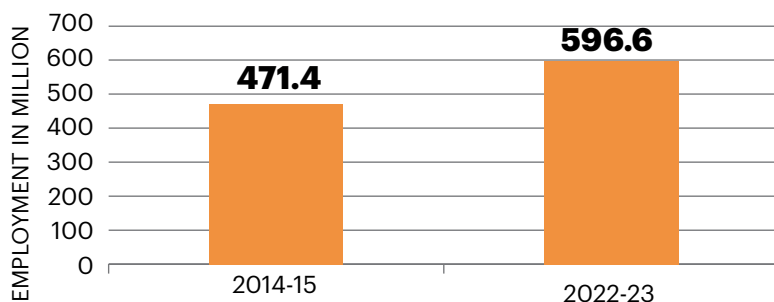


WHAT THE DATA SAYS

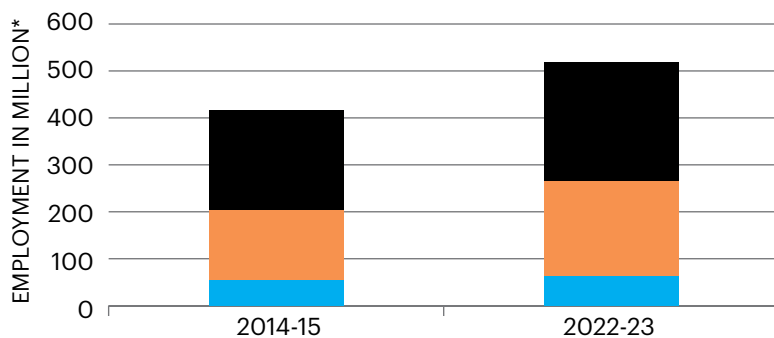
● RBI's KLEMS data shows employment increased to 596.6 million in FY23 from 471.4 million in FY15

● The Economic Survey says 7.85 million non-farm jobs need to be created annually

TOTAL EMPLOYMENT



SECTOR SPREAD



● MANUFACTURING ● SERVICES
● AGRICULTURE, HUNTING, FORESTRY AND FISHING
*IN THE TOP SECTORS

SOURCE RBI KLEMS DATA JULY 2024

results. Basole notes that it is difficult to gauge the impact of the previous schemes because there's not much analysis that's available in terms of their identifiable impact.

The Economic Survey also points out that the outcomes from the apprenticeship schemes signal that there is scope for improvement. The National Apprenticeship Scheme 2.0, launched last year, set an ambitious target of enrolling 4.6 million apprentices in the four years from 2022-23 to

2025-26, whereas enrolments from 2016-17 to 2021-22 were 1.59 million. Questions also remain about how many enterprises will move to the EPFO given the lengthy compliances required.

Notwithstanding these, the Survey has stressed that jobs are created in the private sector. "India's corporate sector has never had it so good as now, with profitability at a 15-year high in FY24. Profits had quadrupled between FY20 and FY23," it said, adding

that businesses are sometimes reluctant to make investments, citing lack of demand visibility.

THE FINE PRINT

Companies are watching out for the fine print of these schemes and await further clarity from the government. "How the implementation happens, how the adaptation happens, how the schemes are drafted, obviously, there is a lot to be seen on how it actually comes into practice," notes Dutta of the Indian Staffing Federation.

For instance, there are doubts about the direct benefit transfers proposed under Schemes A and B. According to the Budget annexure, in case the employment of the first-timer ends within 12 months, the employer will have to refund the subsidy.

Apart from the ELI, there are also questions around the internship scheme. "More details are awaited on the proposed internship scheme to understand how it will work. From what we know, it seems that the number of firms to be involved (500) is not very big, while the target of interns is quite large. It is also not clear how keen firms would be on using their CSR funds to provide a monthly allowance to students," notes Basole. He believes that it is a good idea and could help people transition from school to work, especially first-time job-seekers or those from the deprived sections who may not have an understanding of the job market.

The Economic Survey has highlighted that India needs to generate an average of 7.85 million jobs annually until 2030 in the non-farm sector to cater to the rising workforce. A start has been made with these schemes. Now, jobs need to be created, and quickly. **BT**

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